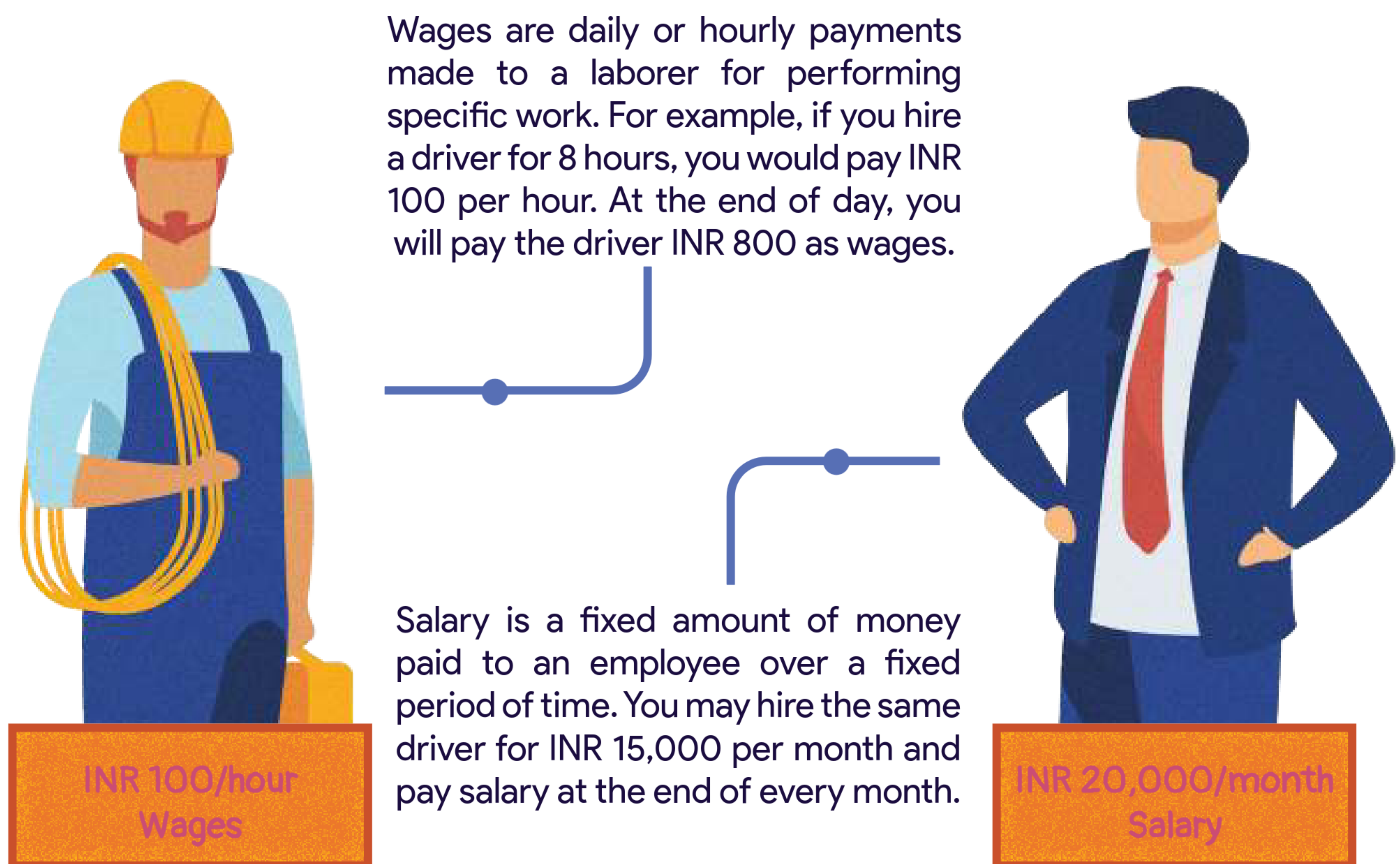


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We already have a lot of questions to answer from the last chapter. Let's start with a new question that will help us answer those questions as well.

What is the difference between the wages and salary?

Wages & Salary



In this case, you would have observed that if you hired the driver for a month on an hourly wage you would have paid much more than the monthly salary. The salary brings down the cost for the organization and gives a sense of safety (continuity of employment) to the employee.

This question was important. Firstly it explains a fundamental concept of salary and wages. Secondly it tells us that economics plays an important part in compensation decisions. Along with economics, there are other factors that form the basis of compensation decisions.